

irrationality of their question about why they need to pay for 'free software' becomes clear to them.

Are we not almost always paying for free things?

We go to restaurants and pay for fish, which is available for free in nature. What about the gold in the ring, which you bought last week? What about the diamonds in the necklace you presented to your daughter for her birthday? What about the water in the bottle you just bought? As you can see, we mostly pay for free things. Sounds illogical? Irrational, maybe?

To understand just how illogical some people's expectations are with regard to 'free software', we need to understand the supply chain involved in any product. Let us take fish, for instance. Somebody has to buy a boat, fill its tank with diesel, hire employees and send them to sea to catch fish. He then needs to price the fish in such a way that he can recover the cost of the boat, diesel, employee salaries, and make a profit for himself. Now, the next element in the supply chain would be the person who buys the fresh fish, transports it in ice and then stores it in a freezer. Obviously, this person, too, needs to add the cost of ice, employee salaries, etc, apart from his profit margin to the original cost of fresh fish. Depending on the location, there could be yet more elements in the supply chain before it reaches a fish store where you can buy the fish as an end customer.

So what does the supply chain look like in the open source scenario? Assume that a generous programmer and his community developed a piece of software for remote controls. It is not practical for the end customer to just download the software and start using it as a remote control. This is where a company can play a role in bridging the gap between the raw software and a functioning remote control in the hands of the customer. This company X understands that there is such software available, chooses a suitable hardware platform to run this software, and also scouts for manufacturers for the plastic parts encasing the hardware—such as buttons for the user to issue commands. It pays some amount to the hardware manufacturer, to the plastic manufacturer and so on. Finally, the company has a beautiful product in hand.

Now, the customers should become aware that there is such a product that they can hugely benefit from. Again, money has to be spent on marketing and a sales channel. The company, even if it is a non-profitable organisation, has to spend for all these activities and recover its expenses from the final product price. Also, those at company X need to set aside funds for the cost of warranties, infrastructure for support, etc. This is how free software becomes a priced product in the customers' hands.

Adam Smith defines capitalism as follows: "It is not from the benevolence of the butcher, the brewer, or the baker, that we expect our dinner, but from their regard to their own interest." Similarly, our company X finds the software, hardware and plastics, puts it together and sells it to make profits. Also, the customer, who buys the product, at say US\$ 25, feels that paying this price once is better than getting up and going to the TV to change channels 10 times in a day. Each works in their own interest to bring about overall economic gain.

It is important that companies that provide open source software understand the economics behind their existence, and educate their sales force to not feel embarrassed in front of 'intelligent customers'. Instead, the sales force must be trained to communicate and explain the economics of open source software. 

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